

usage ratio). Because canceling a card lowers the total amount of credit you have available, it will up your usage ratio, and that could hurt your score.

Here's how it works. Say you have four credit cards, each with a \$1,000 limit, and you owe a total of \$2,000 spread across all four. Your total credit limit is \$4,000 and your usage ratio is 50%. (You are using \$2,000 of the total \$4,000 in credit.) If you close one card, you still owe \$2,000 but your total limit shrinks to \$3,000, so your usage ratio will jump to 67%. Lenders will look at you as a higher risk, and your credit score will probably slip a few points.

What's more, the further back your current accounts go, the better. Closing the account means it stops getting any older, and you have to restart the clock with a new card. Definitely cut up the cards or hide them in a drawer, but think twice before you cancel them.

Your next step is to contact your local police station to file an official police report. Then send a copy of the police report (or at least the report number) along with a copy of the ID Theft Complaint and the form letter to the fraud departments of each of the credit agencies as well as any businesses where the thief used your information—use certified mail and request a return receipt to make sure all this paperwork doesn't get lost in the mail. The credit bureaus have fifteen days from the time they receive your material to ask for any additional information they may need.

Clearly, this process is something of a nightmare, so to minimize the danger of your identity being stolen, develop a few basic precautionary habits: Carefully review your credit card and bank account statements; never give out personal information over the phone or online to anyone you don't know; tear up or shred personal documents before throwing them in the garbage; check your credit reports on a regular basis. For more information on identity theft, contact the Privacy Rights Clearinghouse (www.privacyrightsclearinghouse.com; 619-298-3396).

Q. I've heard a lot about a credit freeze. How is that different from a fraud alert?